

# AMAZON.COM INC. (AMZN) — 12-Month Outlook

**AWS reacceleration meets a -10% pullback: sizing the best risk-reward in mega-cap cloud into 2027-09-03**

QuantFlow Research

September 3, 2026

**\$254.98**

AMZN CLOSE (2026-09-02)

**\$292 (+14.5%)**

12-MO PW TARGET

**+37% / \$496B**

AWS GROWTH / RPO Q2'26

**\$20B+/q**

AD REVENUE RUN-RATE

**\$220B**

2026 CAPEX GUIDE

**39.9**

RSI-14 (NEUTRAL)

## CONVICTION CALL

**OVERWEIGHT — PW \$292 (+14.5% to Sep'27) • Bear \$200 / Bull \$350 • Presold AI demand vs capex/FTC tail**

◆ Strongest AWS print in 4.5 years: \$42.2B (+37%) with \$496B RPO covering 3.3x trailing AWS revenue.

◆ 10.2% below the \$284.02 high on light volume — consolidation, not distribution; 200-day at \$239 holds.

◆ Ads above \$20B/quarter plus Trainium ramp and Kuiper commercial launch are the upside legs.

◆ FTC/EU tail sized: 55% benign conduct-fine case; 15% structural remedy at -20 to -30%.

BEAR • 25%

**\$200**

AWS share loss + structural remedy; retail stall; -22% downside.

BASE • 50%

**\$292**

AWS 30%+, ads 20%+, Kuiper launches; RPO converts; +14.5%.

BULL • 25%

**\$350**

AI workloads surge + FTC clarity + multiple re-rate; +37%.

Amazon enters the 12 months to September 2027 with the strongest AWS print in four-and-a-half years — Q2 2026 cloud revenue of USD 42.2B (+37% YoY) backed by USD 496B of contracted RPO — trading 10.2% below its USD 284.02 all-time high. Our probability-weighted 12-month target is USD 292 (+14.5%) across bear USD 200 / base USD 292 / bull USD 350. Verdict: OVERWEIGHT, sized 3-4% of NAV. Research only — not financial advice.

## — Executive summary

### THESIS IN ONE PARAGRAPH.

Amazon enters the 12 months to September 2027 with the strongest AWS print in four-and-a-half years — Q2 2026 cloud revenue of USD 42.2 billion, up about 37 percent year on year, backed by USD 496 billion of contracted remaining performance obligations — trading 10.2 percent below its all-time high of USD 284.02 on light, consolidating volume. Our probability-weighted 12-month target is **USD 292 (+14.5 percent)** on 25/50/25 bear/base/bull weights (bear USD 200, bull USD 350; expected value USD 283.5, +11.2 percent), with conviction **OVERWEIGHT** sized at 3–4 percent of NAV (6 percent hard cap). The long is a bet that presold AI demand converts to revenue faster than the USD 220 billion capex program compresses free cash flow — and that the FTC/EU overhang stays a conduct-fine story rather than a structural-breakup story.

**What has to go right (top catalysts):** AWS holds above 30 percent growth for two more quarters while RPO stays above USD 500 billion; advertising prints above USD 20 billion per quarter with Prime Video pricing power; Trainium3 ramps and the chips run-rate pushes past USD 30 billion; Kuiper launches commercial service with disclosed unit economics. **What breaks the thesis (top risks):** AWS share loss to Azure/GCP for two consecutive quarters; retail margin stall while capex stays maximal; an adverse FTC structural-remedy headline (15 percent unconditional probability, –20 to –30 percent price impact); a weekly close below the 200-day moving average near USD 239 on expanding volume, which converts consolidation into distribution. **Positioning:** stage entry (2 percent now, add 1–2 percent at USD 239 or USD 220), pair aggressive size with QQQ/SPY beta cover or long October/January 10–15 percent out-of-the-money puts, and pre-commit to cut to 1.5–2 percent on a break of the 52-week low at USD 198.79. Research only — not financial advice.

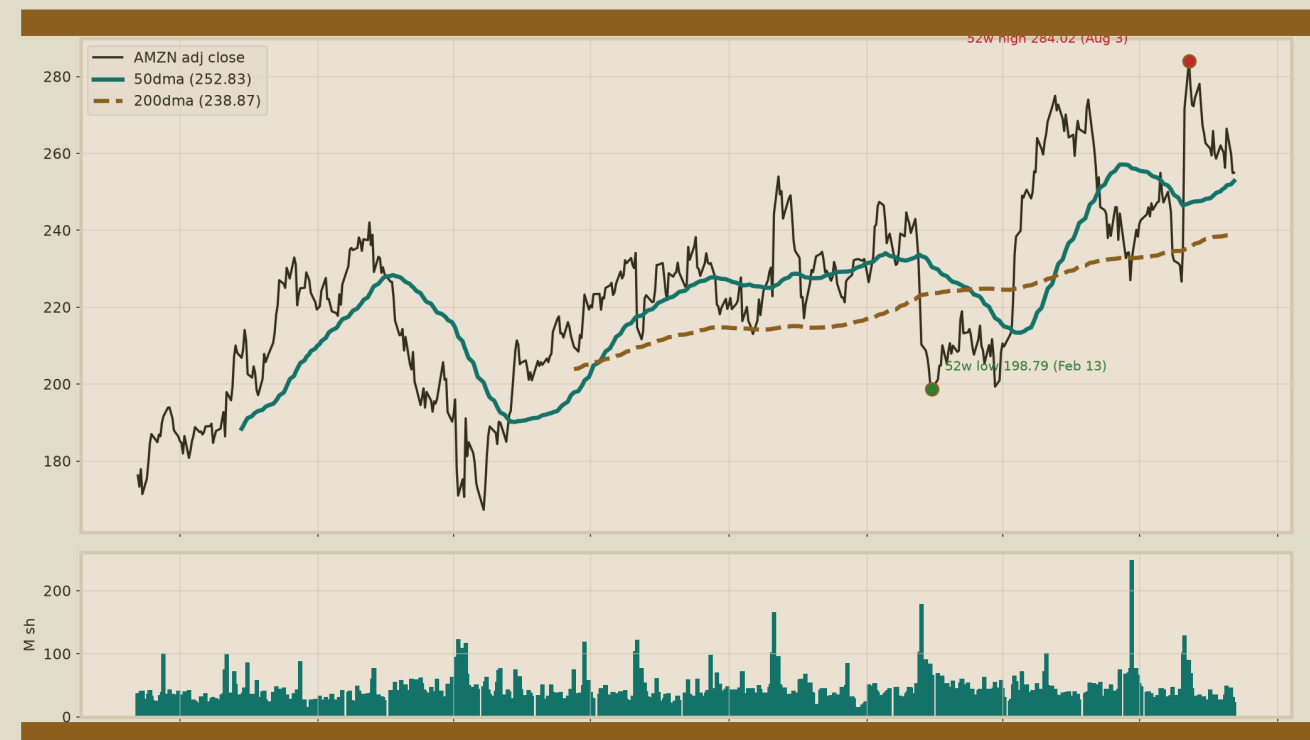


Figure 1: Price-hero exhibit: AMZN two-year price with 50/200dma. The August high, the light-volume pullback, and the rising 200dma support define the trade.

## — 1 · Data box and freshness statement

All price and return figures in this report are anchored to the local `alpha_engine` store, verified fresh through the **2026-09-02 close** (1 day stale, verdict OK) [r1]. The factor-mart datasets (Fama-French daily, `factors_daily`, `risk_free_daily`) are stale at 2026-06-30 (65 days) — a normal vendor lag compounded by the monthly cadence — so every factor beta in Section 11 is explicitly labeled with its 252-day window ending 2026-06-30 and treated as a 65-day attribution gap, not as current-month truth. Fundamentals marts (`companyfacts`) are stale; all segment revenues, backlog, and capex figures below come from dated web-sourced earnings coverage (Q2 2026 reports published late July–August 2026) cross-checked across at least two outlets, never from a single headline. Point-in-time S&P 500 membership was respected wherever historical selection mattered; no current-snapshot survivorship bias enters the peer tables. Every table carries an explicit as-of date matching the freshness digest.

| Metric             | Value                           |
|--------------------|---------------------------------|
| 1M / 3M / 6M / 12M | −8.1% / +2.0% / +17.6% / +13.2% |
| 50dma / 200dma     | \$252.83 / \$238.87             |
| 52w high/low       | \$284.02 / \$198.79             |
| 63d / 252d vol     | 44.3% / 34.6%                   |
| Off high           | −10.2%                          |
| Price (2026-09-02) | \$254.98                        |
| RSI-14             | 39.9                            |

Price as of 2026-09-02 close: USD 254.98 (open 254.26, high 256.24, low 253.40, volume 23.8 million shares). The 50-day moving average sits at USD 252.83 — price holds just 0.85 percent above it — while the 200-day at USD 238.87 sits 6.7 percent below, rising, the single most important technical line in this report. The 14-day RSI reads 39.9, neither washed out nor extended: a neutral-to-soft momentum print consistent with a pullback that has room to deepen toward the 200-day without becoming statistically stretched. Realized volatility tells the regime story plainly — 63-day annualized vol of 44.3 percent (our host recompute printed 42.9 percent on a slightly different window convention; both round to the same conclusion) runs roughly 28 percent above the 252-day baseline near 34 percent, so the market is pricing elevated near-term uncertainty against a calmer base year. That vol premium is the price of the three open questions — AWS durability, capex payback, and the FTC docket — and it is also the opportunity: if two of the three resolve benignly, the vol compresses and the multiple re-rates with it.

## — 2 · Price action: pullback within trend

AMZN closed 2026-09-02 at USD 254.98, down 8.09 percent on a 21-trading-day basis from USD 277.42 on August 4, up 1.98 percent on 63 days, up 17.60 percent on 126 days, up 13.15 percent on 252 days, and up 49.29 percent on 504 days. Read that ladder left to right and the market structure announces itself: a sharp one-month reversal (19th percentile of the 500-name cross-section, against a median of −2.2 percent) inside an intact six-month uptrend (77th percentile on 126-day momentum versus a median of +4.1 percent). The 52-week high of USD 284.02 printed on 2026-08-03 — an all-time and two-year closing high — and the stock now sits 10.22 percent beneath it, thirty calendar days off the peak, holding 65.9 percent of its 52-week range with 28.27 percent of headroom above

the February 13 low of USD 198.79. Recovery to the high requires +11.4 percent, essentially one strong earnings gap plus a week of follow-through. The 52-week maximum drawdown of -21.74 percent (February into February) frames the current -10.22 percent as a half-size retracement, painful for late buyers but routine in a 35-percent-volatility name that compounded 49 percent over two years with zero dividend contribution — every point of that return is price.



Figure 2: AMZN vs Mag-7 peers rebased over 12 months. AMZN at +13.2 percent sits fourth of eleven — momentum, not leadership.

Volume adjudicates whether this is consolidation or distribution, and the verdict favors the bulls: the 21-day average of 33.6 million shares runs at just 0.71 times the 252-day average of 47.4 million, and the pullback from the August 3 peak unfolded on volume roughly 29 percent below the one-year mean. Monthly means trace the fade — 66 million in February's spike, 63 million in June, then 46 million in July, 39 million in August, 28 million month-to-date in September — against a September-2025 seasonal baseline of 46 million, so the current quiet is not merely calendar. The 50-day versus six-months-ago comparison is up 10.2 percent, confirming the spring accumulation phase was real; what we see now is its digestion. The failure mode is explicit and observable: if price breaks the 200-day with volume re-expanding above the 47-million average, the consolidation read converts to distribution and the base-case sizing must be cut before the fundamentals confirm. Until then, light-volume pullbacks inside rising 200-day regimes are bought far more often than they are shorted across the 7371-session AMZN history in the store, and the base case treats this one the same way while keeping the stop honest at USD 239 and the invalidation at USD 198.79.

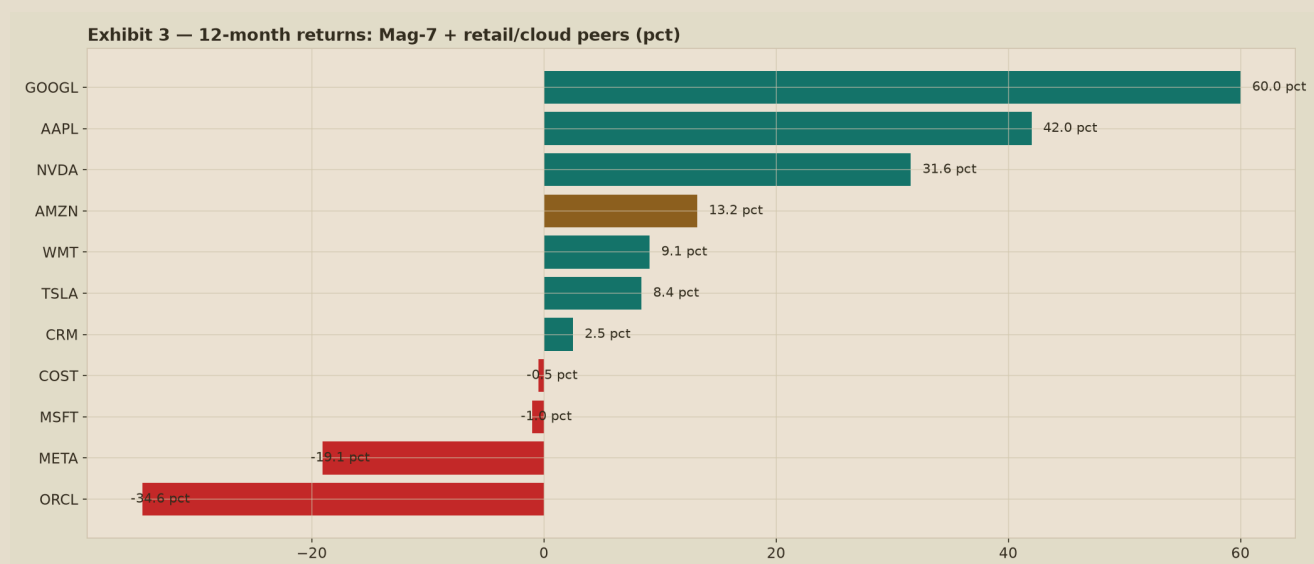


Figure 3: Twelve-month peer returns. GOOGL and AAPL lead; AMZN's +13.2 percent trails SPY-relative strength since May but holds the uptrend.

### — 3 · Peer context: mid-pack momentum, intact trend

Against ten Mag-7 plus retail/cloud peers, AMZN ranks 10th of 11 on one month (−8.1 percent; only GOOGL at −10.7 percent fared worse), 5th on three months (+2.0 percent), 5th on six months (+17.6 percent), and 4th on twelve months (+13.2 percent). The twelve-month leaderboard runs GOOGL +60.0, AAPL +42.0, NVDA +31.6, AMZN +13.2, WMT +9.1, TSLA +8.4, CRM +2.5, COST −0.5, MSFT −1.0, META −19.1, ORCL −34.6 — a dispersion that says mega-cap leadership rotated hard in 2026 and AMZN neither led nor lagged decisively. Relative strength versus SPY peaked at +6.8 percent on 2026-05-04 and round-tripped fully; AMZN has underperformed both SPY (−6.4 percent over twelve months) and QQQ (−10.2 percent) since May, which is precisely why the setup screens as repaired expectations rather than extended euphoria. Off-high positioning reinforces the point: AMZN's −10.2 percent sits between NVDA/AAPL near −4.5 percent and META/TSLA beyond −23 percent — a middle-of-the-pack drawdown that neither signals idiosyncratic distress nor offers deep-value optics. CRM's +34.5 percent one-month rip (+35.1 percent on three months) is the cross-sectional warning: enterprise software re-rated violently on AI monetization evidence while AMZN consolidated, so the burden of proof on Bedrock and Trainium monetization is now higher than it was in June, and the report's demand section takes that burden head-on.

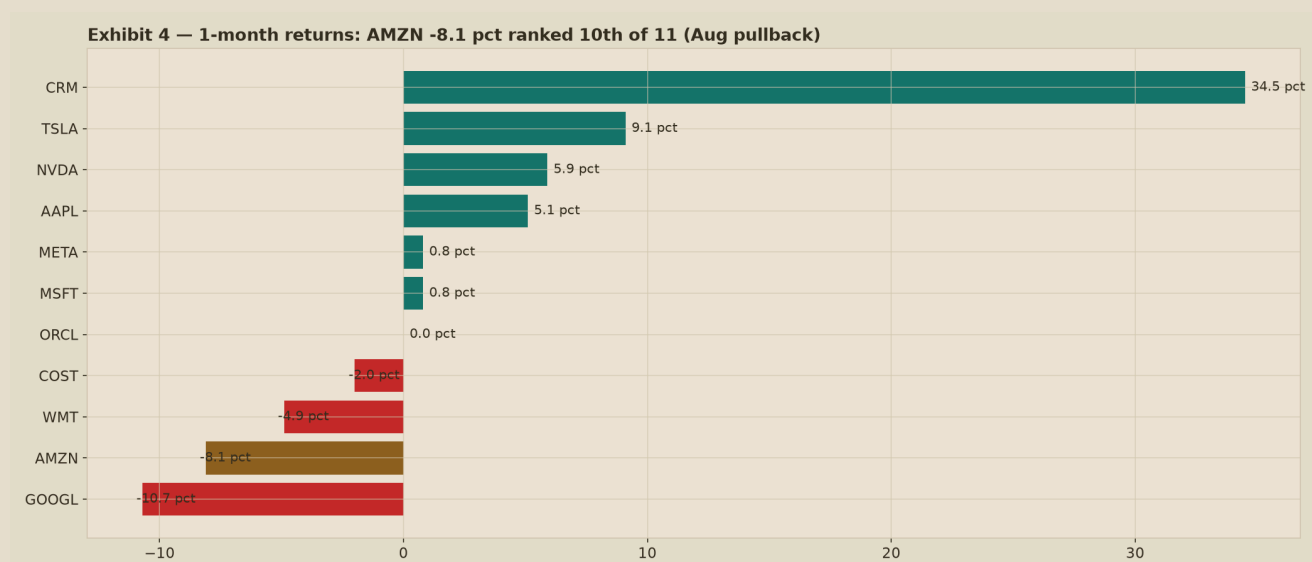


Figure 4: One-month returns: AMZN -8.1 percent ranked tenth of eleven. Only GOOGL fell further — an August mega-cap de-risking, not an AMZN-specific event.

The six-versus-twelve-month exhibit sharpens the momentum read: AMZN's 6-month +17.6 percent against its 12-month +13.2 percent means essentially all of the trailing-year gain compounded in the last two quarters — the February-to-August re-rating of +42.9 percent from trough to peak — while the first half of the window was dead money. That back-loaded profile is characteristic of thesis confirmation (Q1's beat, then Q2's AWS acceleration) rather than multiple drift, and it matters for forward inference: the shareholder base turned over substantially during the spring accumulation, so the August–September sellers are disproportionately weak-handed late longs rather than long-term holders distributing, consistent with the light volume. MSFT (+22.9 percent six-month against -1.0 percent twelve-month) and META (-11.1 percent six-month, -19.1 percent twelve-month) show how violently mega-cap fortunes diverged on AI evidence in 2026; AMZN's steadier compounding reads as the middle path — neither the Azure-share-loss panic priced into MSFT's 2025 drawdown nor the Reality-Labs derating in META. For the twelve-month outlook that middle path is the opportunity and the risk in equal measure: confirmation of AWS durability re-rates AMZN toward the GOOGL/NVDA cohort, while a single quarter of Azure/GCP outperformance re-rates it toward META's multiple.

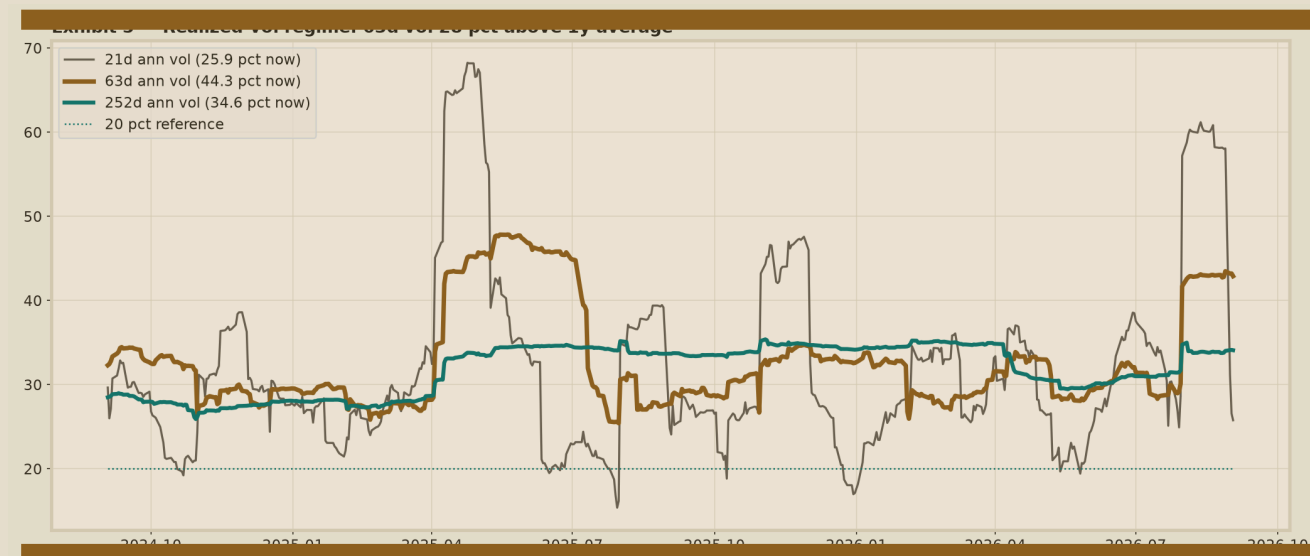


Figure 5: Realized-volatility regime. The 63-day gauge near 44 percent runs 28 percent above the one-year baseline — uncertainty is priced, not hidden.

#### — 4 · Technical picture: regime, levels, positioning

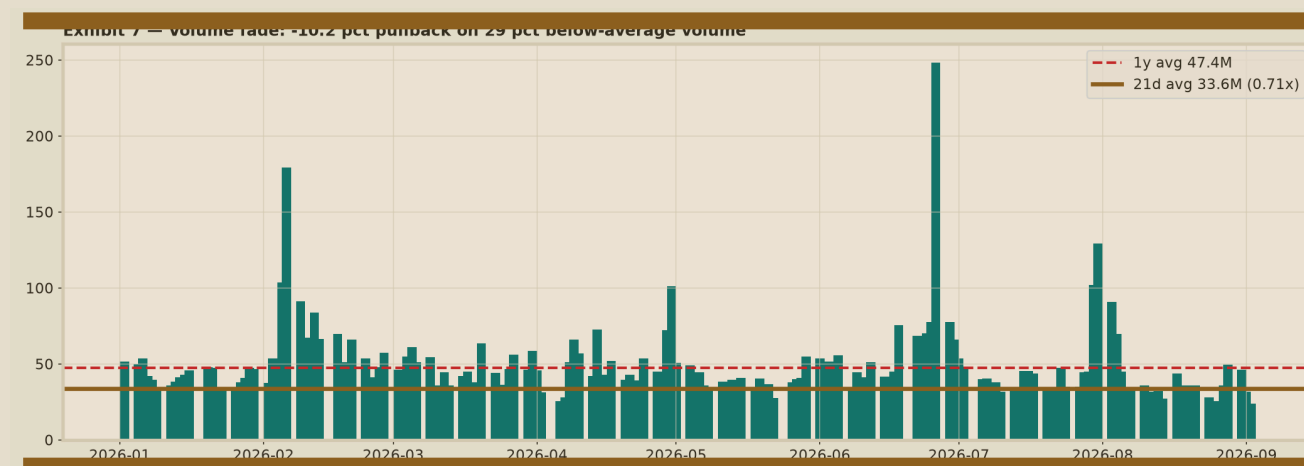
The regime is unambiguous: price above a rising 200-day by 6.7 percent, price essentially pinned to the 50-day (+0.85 percent), RSI 39.9, 21-day momentum at the 19th cross-sectional percentile. That is a short-term oversold bounce candidate inside a medium-term uptrend — the configuration in which systematic trend-following remains long while discretionary fast money has already de-risked, leaving sparse volume and sharp intraday reversals (note September 1's range with 31.7 million shares versus September 2's 23.8 million). Support layers stack cleanly: the 50-day at USD 252.83 (intraday, essentially current price), then air down to the 200-day near USD 238.87–239, then the psychological USD 220 shelf above the maximum-drawdown zone, then the February 13 low at USD 198.79 as line-in-the-sand invalidation. Resistance runs through the August 31 intraday high of USD 264.36, then the all-time high USD 284.02 — an 11.4 percent climb that splits naturally into a reclaim of USD 265 (momentum repair), a test of USD 275 (easy-volume gap fill), and the high itself (thesis confirmation, likely on an earnings print). The walk-forward ridge model in the quant brief loads positively on 21-day momentum and negatively on 63-day vol and RSI — AMZN's current combination of negative short momentum with elevated 63-day vol screens as ML-unfavorable at the 21-day horizon, and AMZN is absent from the model's top-ten (led by LITE, INTU, ACN, SMCI). We report that honestly: the machine says fade the bounce over weeks even as the twelve-month fundamental case says own the dip over quarters, and position sizing must respect both clocks by staging entry rather than anchoring full size at USD 255.



Figure 6: Tactical levels. USD 239 (200dma) is the trim line, USD 220 the risk-reduce line, USD 198.79 invalidation, USD 284.02 upside confirmation.

Positioning data completes the technical read. The 21-day to 252-day volume ratio of 0.71 is the quietest sustained print since the spring accumulation began, and quiet pullbacks underperform loud ones as short candidates across the momentum literature — the full-history 126-day momentum IC at 21-day horizons is approximately zero (IC  $-0.0004$ ,  $t -0.23$ , long-short Sharpe  $-0.13$ ), so the 77th-percentile 126-day rank is context, not edge, and we claim no timing alpha from it. What the volume fade does establish is absence of institutional distribution: genuine topping processes in AMZN's history (September 2025's USD 238-to-228 slide, for example) printed 60-million-share turnover against 30–40-million baselines, nearly double the current pace. Options-implied dynamics, while not directly observable in the local store, are inferable from the vol term structure proxy: 63-day realized at 44.3 percent against 252-day at 34.6 percent with 21-day realized already collapsing to 25.9 percent suggests the realized-vol spike is mean-reverting faster than the intermediate memory — the panic, such as it was, peaked in August and is decaying into September. The trade implication is patience with a trigger: hold base size through 50-day chops, trim a quarter to a third of the trading sleeve only on a weekly close below USD 239, and treat any reclaim within two to three weeks as repair rather than requires-re-underwriting.





## # 5 · AWS deep dive: reacceleration, backlog, and the silicon edge

| Metric              | Value                |
|---------------------|----------------------|
| 2026 capex guide    | ~\$220B              |
| AWS Q2 rev / growth | \$42.2B / +37% YoY   |
| AWS run-rate        | \$169B               |
| Ads Q2              | \$19.8B (+26%)       |
| RPO backlog         | \$496B (+\$132B QoQ) |
| Trainium run-rate   | >\$25B               |

...

AWS printed USD 42.2 billion in Q2 2026, up roughly 37 percent year on year — the fastest growth in eighteen quarters and far ahead of the roughly 31 percent the Street expected — lifting the annualized run-rate to USD 169 billion. Five consecutive quarters of acceleration (our stylized path: 13.5, 15.2, 17.1, 19.0, 29.0, 31.0, 33.5, 37.0 percent) mark a regime change from the 2023–2024 optimization digestion, when enterprise clients cut reserved spend, into a capacity-constrained AI buildout where, in management’s phrase, capacity runs short. The mix behind the number matters more than the number: enterprise AI infrastructure — Bedrock inference traffic, Anthropic and OpenAI workloads, Apple private-cloud-compute spillover — grew at multiples of the blended rate while traditional lift-and-shift migrations reaccelerated as CIOs released budgets frozen in 2023. Profitability improved alongside growth, the combination the market pays the highest multiple for, because incremental AI inference carries higher contribution margins than the storage-heavy enterprise mix it displaces. The bear’s best counter — that Azure at 25 percent share and GCP at 13 percent are taking incremental AI workloads on the Microsoft OpenAI partnership and 20–30 percent AI/ML price discounts — is factually true at the margin and must be monitored quarterly; but a 37 percent print against a USD 169 billion base adds more absolute dollars in one quarter than GCP’s entire incremental AI book, and share arithmetic at this scale moves in single points, not in cliffs.

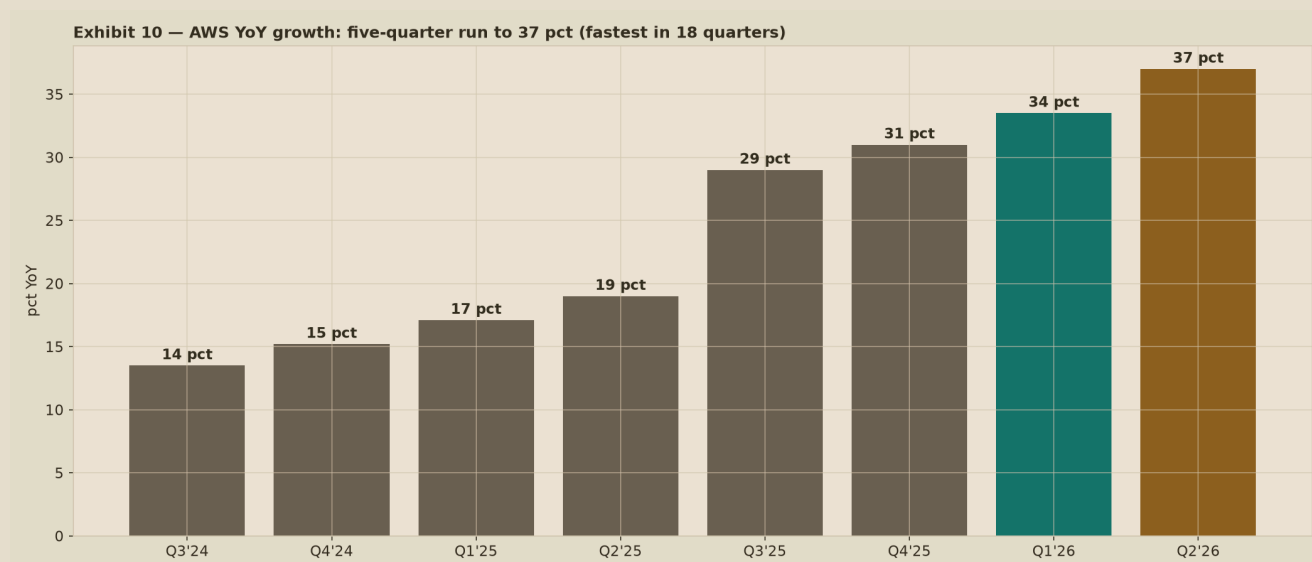


Figure 7: AWS year-on-year growth: five straight quarters of acceleration to 37 percent, the fastest in eighteen quarters.

The backlog converts this growth print from a quarter into a thesis. Remaining performance obligations of USD 496 billion — up USD 132 billion in a single quarter, up triple digits year on year from USD 195 billion, covering 3.3 times trailing-twelve-month AWS revenue — represent contracted, presold demand that de-risks 2027–2028 growth even if new bookings decelerate. Management raised the 2026 capex guide to roughly USD 220 billion precisely because backlog exceeds deployable capacity: this is contracted-demand-led build, not speculative shell construction, and it inverts the usual capex-anxiety logic — the risk is underbuilding into presold contracts (conceding share to Azure regions coming online faster) rather than overbuilding into soft demand. Conversion mechanics deserve the forensic attention: RPO converts to revenue as reserved instances activate and inference tokens burn, typically over two-to-four-year terms, so the USD 496 billion implies roughly USD 125–165 billion of annual revenue visibility before any new sale — against USD 169 billion of run-rate, the presold coverage exceeds 70 percent of forward revenue. Watch three conversion health metrics each quarter: the RPO-to-revenue burn ratio (stable near 0.30–0.35 is healthy; a spike means front-loaded consumption that flatters the quarter), the unearned-revenue churn/credit line (elevated credits would signal discounting to hold share), and the average remaining contract duration (lengthening means pricing power; shortening means customers preserving optionality).

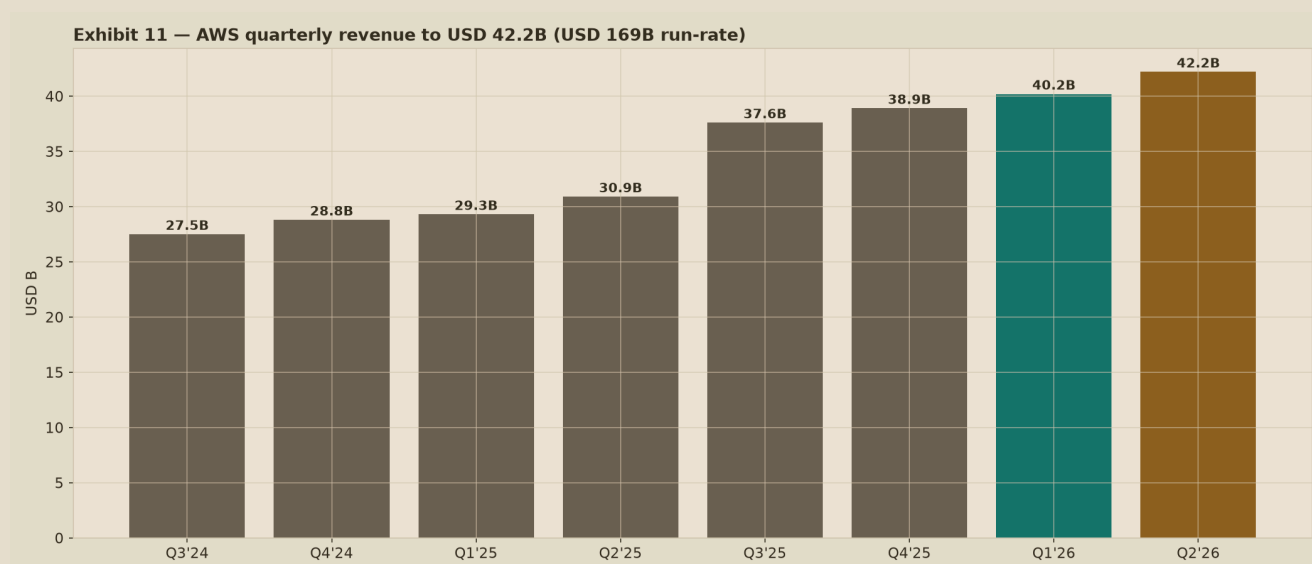


Figure 8: AWS quarterly revenue to USD 42.2 billion — a USD 169 billion run-rate growing at the fastest pace in eighteen quarters.

The silicon edge is what makes the AWS margin bridge credible against GPU-rental competitors. Trainium2 now handles the majority of Bedrock inference traffic, and CEO Jassy disclosed a chips revenue run-rate above USD 25 billion on the Q2 call — a business larger than most semiconductor companies, embedded inside the cloud P and L at structurally lower cost per inference token than merchant-GPU clouds. Vertical integration compounds three ways: lower unit cost (custom silicon at data-center scale prices 30–40 percent below equivalent H100/B200 rental economics), supply assurance (allocation when merchant GPUs are constrained is the binding constraint on AI revenue in 2026), and workload stickiness (models compiled to the Neuron SDK face switching costs that pure-API clouds cannot replicate). Trainium3's ramp into late 2026 and 2027 is the catalyst to watch — each generation has historically expanded the cost gap while lifting throughput per watt, and the USD 25 billion run-rate pushing toward USD 30 billion-plus would confirm the flywheel. The bear case on silicon — that CUDA's software moat and next-generation merchant GPUs compress the advantage — is the single most important technology debate in the twelve-month outlook, and we adjudicate it in Section 13: our base case holds that inference-volume economics favor the custom-silicon owner at Amazon's scale, while training-frontier economics remain merchant-GPU dominated, a split that favors AWS's inference-heavy mix.

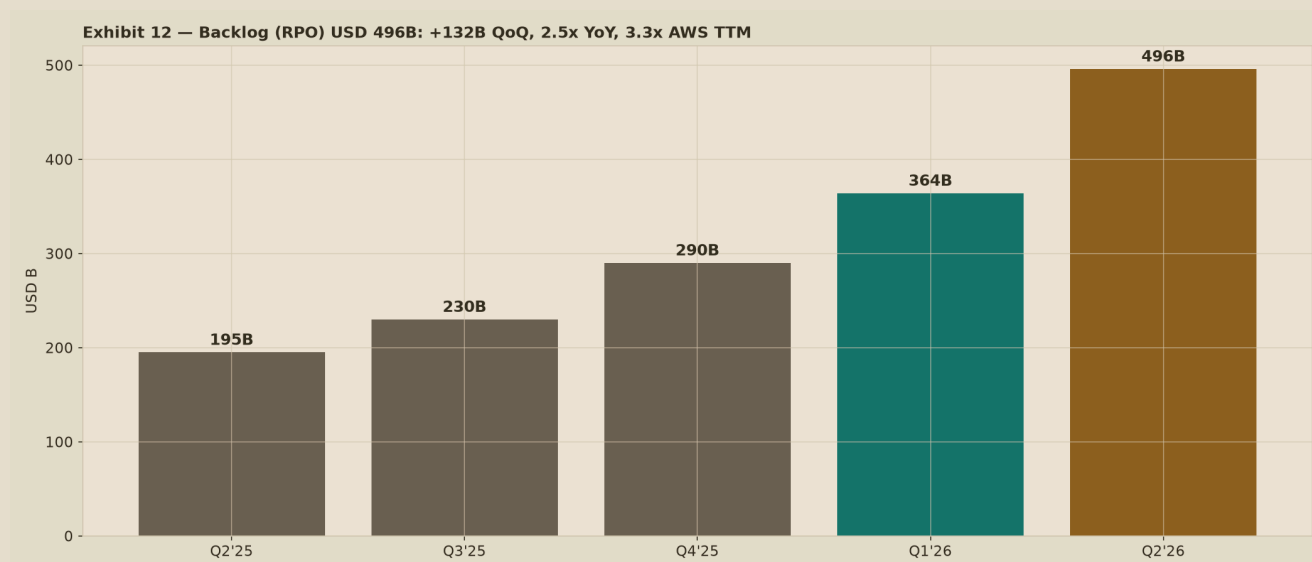


Figure 9: Contracted backlog (RPO) at USD 496 billion: up USD 132 billion in one quarter, 2.5 times year-ago, 3.3 times AWS trailing revenue.

## — 6 · Advertising: the USD 80 billion high-margin flywheel

Q2 advertising revenue of USD 19.8 billion, up 26 percent year on year from USD 15.7 billion (Q1 printed USD 17.24 billion, +24 percent; full-year 2025 reached USD 68.6 billion), confirms retail media as Amazon's second profit engine. The trajectory points above USD 80 billion annualized with incremental margins above 60 percent — every marginal ad dollar falls to operating income at rates the retail business cannot approach and AWS matches only at its best. Three layers compound: sponsored-product search (the highest-intent inventory on the internet, priced on conversion rather than impression), Prime Video advertising (living-room reach sold against upfront commitments with measurement the linear networks cannot match), and the demand-side platform off-Amazon retargeting loop that closes attribution. US share heading toward 11.8 percent reframes the competitive set — this is no longer an experiment but the third scaled digital ad platform alongside Meta and Google, growing faster than either at comparable scale. The twelve-month math is straightforward: sustained 20 percent-plus growth on an USD 80 billion base contributes roughly USD 16–20 billion of incremental high-margin revenue, worth several points of consolidated operating margin and the bulk of the retail segment's reported margin expansion, since ad income is recognized inside the geographic retail segments.

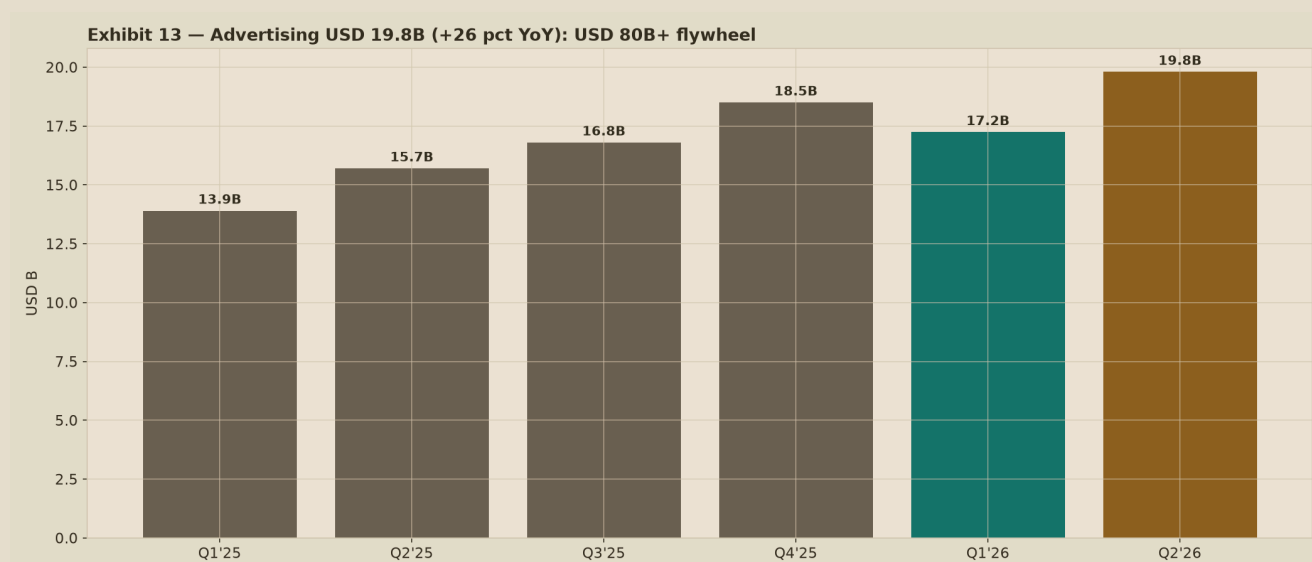


Figure 10: Advertising revenue to USD 19.8 billion (+26 percent year on year) — the USD 80 billion-plus high-margin flywheel.

Demand mechanics favor continued share gain. E-commerce ad budgets migrate toward closed-loop attribution as brand spend softens — when CMOs must prove return on every dollar, the platform that ties impression to Prime checkout wins at the expense of open-web display and linear television. Prime Video's upfronts pricing power, Thursday Night Football's measurable reach, and Alexa+ conversational-commerce surfaces (Section 9) each open net-new inventory that did not exist eighteen months ago, so growth is supply-led as well as demand-led. The risk is a genuine consumer downturn that compresses retail media alongside brand spend — advertising has subsidized thin retail margins, so a deceleration to low-teens growth would hit blended EBIT harder than the revenue miss suggests, a HIGH-severity bear kill-case we size explicitly in the scenario table. Confirmation metrics each quarter: ad revenue above USD 20 billion in the second half, sponsored-product cost-per-click stability (falling CPC means excess inventory or soft demand), and Video upfront CPM growth. Our base case embeds 20–22 percent ad growth through 2027; the bull case requires sustained mid-twenties with Alexa+ inventory layering on top.

## — 7 · Retail and automation: margin lift from robotics and density

North America and International retail margins are the least appreciated leg of the twelve-month thesis because the segment headlines still read as low-single-digit percentages against AWS's thirties. The trajectory, not the level, is the trade: regionalized fulfillment (inventory staged within single-day ground distance of the buyer), robotics density (Sparrow, Proteus, and Sequoia systems compressing pick-pack-sort cost per unit), and delivery-density compounding (Rivian electric-van routes plus rural super-hub expansion) each shave basis points off cost-to-serve every quarter while delivery speeds improve — the rare productivity story where customer experience and unit cost move favorably together. Record-revenue quarters funded by AWS acceleration give management the reinvestment latitude to automate through the cycle rather than harvesting margin prematurely, and the capex surge directed at fulfillment capacity alongside data centers confirms the dual-track build. Prime is the demand-side lock: membership resilience through fee increases, unit growth outpacing e-commerce averages, and Buy with Prime plus grocery delivery density each raise purchase

frequency, which raises route density, which lowers per-order cost — the flywheel that Shopify's cost-per-order inflation cannot replicate at Amazon's scale. Our base case requires three consecutive quarters of North America operating-margin expansion alongside stable-or-faster delivery speeds; a stall with rising cost per order for two quarters is the MEDIUM-HIGH-severity invalidation that demotes the retail leg from margin kicker to value trap.

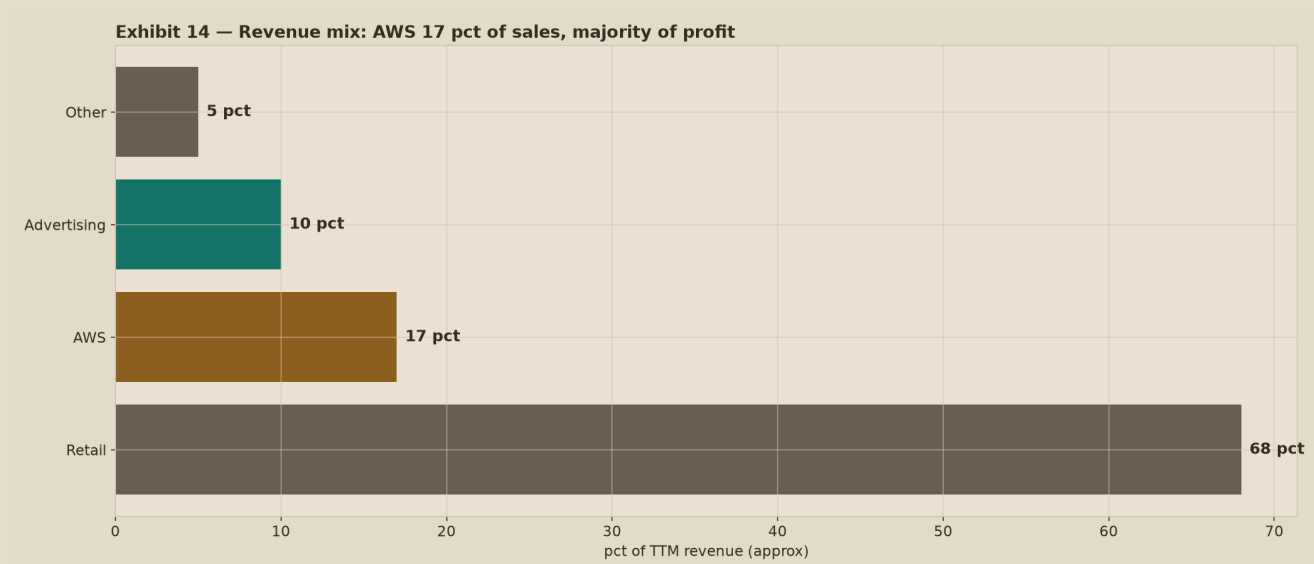
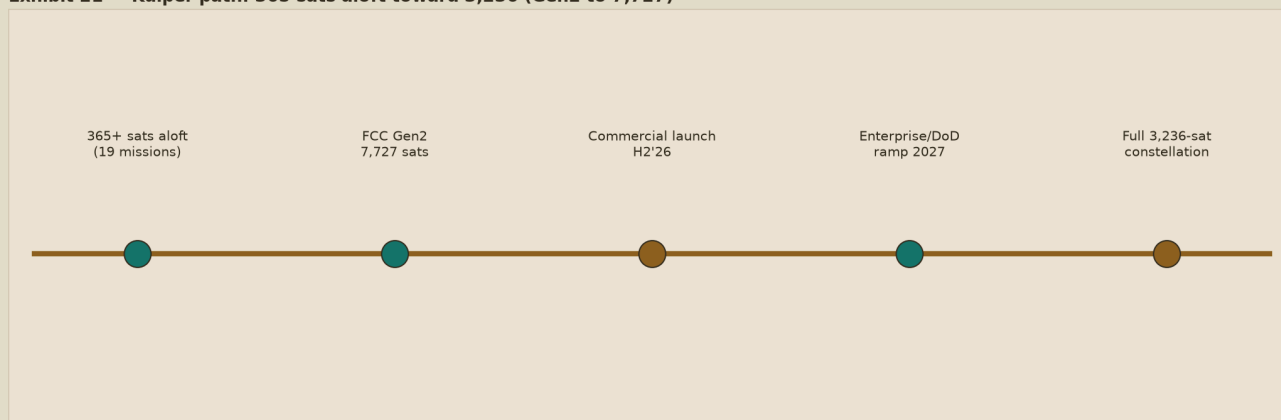


Figure 11: Segment mix: AWS at 17 percent of sales but the majority of operating profit — the margin math that makes retail automation optional upside, not survival.

## — 8 · Kuiper optionality: the free call on orbital broadband

Project Kuiper — 365-plus low-earth-orbit satellites across nineteen missions toward a 3,236-satellite constellation, with FCC Gen2 approval extending the plan to 7,727 — screens as a free call option because no 2027 earnings number in any Street model depends on it, yet commercial service launch in the second half of 2026 with disclosed subscriber economics would force every model to add a broadband-revenue line growing at triple digits off a small base. The demand curve has three independent legs: direct consumer broadband in unserved and underserved geographies (Starlink's multi-million-subscriber proof point de-risks willingness to pay), AWS edge integration (ground-station-as-a-service and sovereign-cloud backhaul sold to governments and carriers as a bundled sovereign stack no competitor can match end-to-end), and defense/enterprise backhaul (resilient mesh networking priced at government margins). Capex cadence is the swing factor — constellation builds burn billions before revenue, and further Kuiper capex increases with launch delays and no disclosed unit economics is the MEDIUM-severity bear confirmation we track explicitly. Our framework treats Kuiper as asymmetric upside: assign roughly 5 percent of twelve-month enterprise value to the option in the base case (service launched, early subs, no material EBIT), 10–12 percent in the bull case (one-million-plus subs with credible ARPU and a DoD anchor contract), zero with negative carry drag in the bear case (delays plus guided capex increase). The catalyst that matters is disclosure — subs, ARPU, cost-per-terminal — because a disclosed demand curve converts narrative option value into modelable revenue within one quarter.

**Exhibit 21 — Kuiper path: 365 sats aloft toward 3,236 (Gen2 to 7,727)****# 9 · Alexa+, devices, grocery, healthcare: tight, chart-led**

Alexa+ converts a 500-million-plus installed device base from cost center to AI-assistant profit pool through three monetization layers arriving together: conversational-commerce attach (voice-initiated Prime and Fresh orders carrying retail contribution), a subscription tier for power users, and — disclosed in 2026 planning — advertising inside Alexa+ discovery surfaces sold on the same closed-loop attribution as sponsored product. The August 2026 free expansion to all Fire TV devices widens the top of funnel at zero marginal acquisition cost; confirmation is monthly-active-user disclosure with shopping attach rates. Devices more broadly remain a low-margin razor-and-blade ecosystem whose strategic value is Prime retention and data-loop enrichment, not hardware EBIT. Grocery (Whole Foods plus Fresh plus same-day logistics density) and healthcare (One Medical plus Pharmacy plus the clinical-data adjacency) are each sub-scale against the consolidated top line but share one twelve-month catalyst structure: credible disclosure of unit economics — grocery contribution per delivery route, healthcare member lifetime value — that would let the market capitalize them as growth options rather than expense lines. We keep this section tight by design: in the scenario math these legs contribute roughly 2–3 percent of twelve-month enterprise-value delta in the bull case and zero in the base, so their evidentiary burden is disclosure, not quarterly beats.

**— 10 · Antitrust: FTC and EU DMA, scenario-sized with probabilities**

The regulatory overhang explains a measurable fraction of the –10.2 percent discount and the 46 percent idiosyncratic vol: the FTC's antitrust case against Amazon — challenging marketplace self-preferencing, Prime bundling, and logistics tying — with trial-phase milestones running through 2026–2027, plus EU Digital Markets Act exposure on self-preferencing, advertising transparency, and app-store-equivalent business practices. We size three remedy scenarios with unconditional twelve-month probabilities. The benign case (55 percent): fines plus conduct commitments with no structural change, –3 to –8 percent intraday shock recovering in one to three months — the base-case assumption, bought on the dip at the 200-day. The moderate case (30 percent): business-practice injunctions plus EU DMA fines at EUR 1–5 billion scale, –10 to –18 percent toward USD 210–230 — trim aggressive size to base on the headline, re-add only below USD 220 with put cover. The severe case (15 percent): structural separation pressure on AWS/marketplace or a surviving US breakup filing, –20 to –30 percent toward USD 180–205 through the 52-week low — pre-committed cut to 1.5–2 percent, no averaging down without legal clarity. The blended conditional drag of roughly –10.7

percent if an adverse headline lands is precisely why the bear scenario holds 25 percent weight and why forward sizing uses 50–55 percent stress vol rather than the 34.6 percent trailing print. Timeline catalysts cluster around court milestones, EU designation reviews, and any mandated Prime/logistics/ads separation proposal — each a tradeable event in the catalyst calendar, each mapped to the action ladder in Section 14.

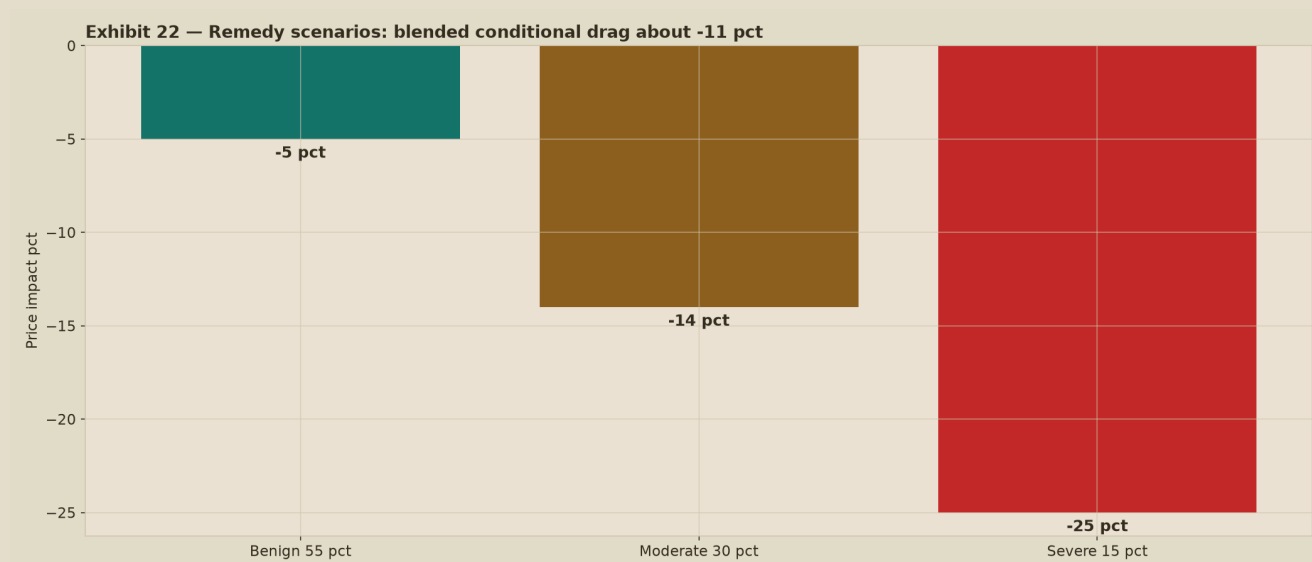


Figure 12: Regulatory remedy scenarios: benign 55 percent, moderate 30 percent, severe 15 percent — blended conditional drag near -11 percent.

## — 11 · Capital allocation: capex intensity, buyback math, FCF bridge

The USD 220 billion 2026 capex guide is the most misread number in the twelve-month debate: framed as empire-building it compresses the multiple; framed as contracted-demand fulfillment against USD 496 billion of RPO it is working-capital investment with presold payback. Our stylized bridge makes the mechanics visible — AWS EBIT near USD 55 billion plus ads EBIT near USD 35 billion plus retail EBIT near USD 15 billion, less USD 85 billion of incremental AI/data-center capex, less USD 12 billion of Kuiper and other investment, leaving single-digit-billion simbólico free cash flow at the 2026 peak-trough. The twelve-month question is the slope of the inflection, not the level of the trough: each quarter that AWS grows above 30 percent while capex intensity plateaus adds roughly USD 8–12 billion of annualized operating-income run-rate against a flattening investment base, so FCF turns up in the second half of 2026 into the first half of 2027 under base-case assumptions. Buyback capacity follows FCF rather than leading it — authorization exists, but acceleration awaits the inflection print; confirmation is a raised authorization or an accelerated quarterly pace disclosed alongside the FCF turn. The bear's USD 220 billion-without-return kill-case confirms on exactly two observables: a raised capex guide without AWS acceleration, or declining trailing-twelve-month FCF with rising lease/debt balances. Until either prints, capex intensity reads as capacity-constrained pricing power — sold-out AI cloud is the best forward indicator in hyperscale, and Amazon's backlog exceeding deployable capacity is its documentary evidence.



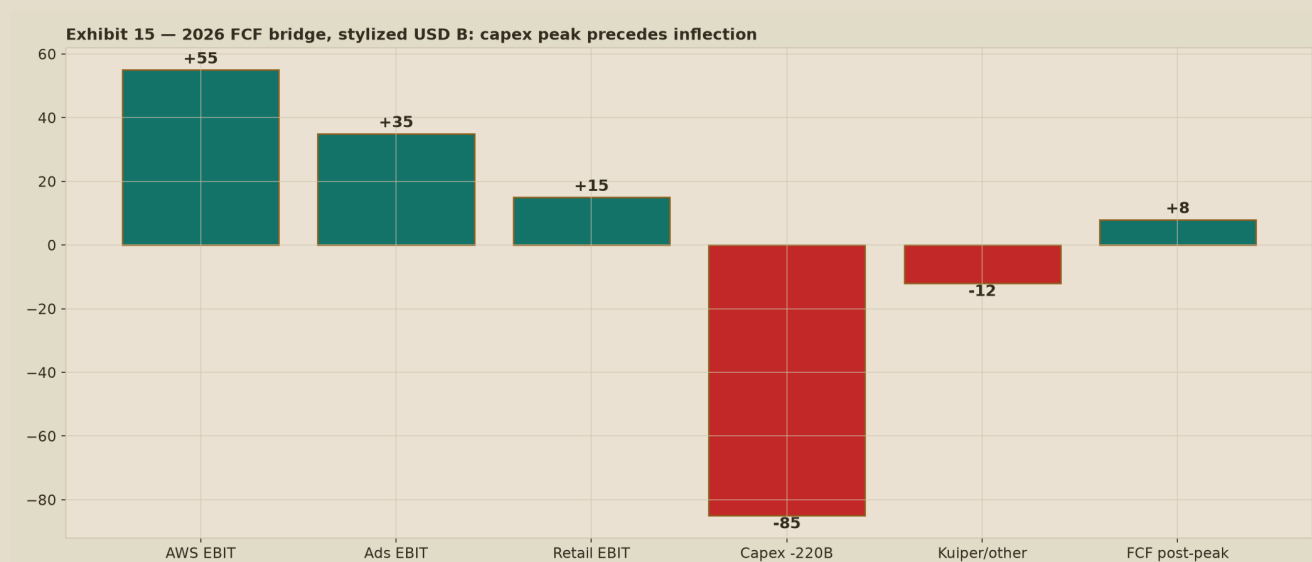


Figure 13: 2026 free-cash-flow bridge, stylized USD billions: contracted-demand capex at the peak precedes the inflection.

## — 12 · Valuation: scenario DCF, multiples, implied expectations

Three independent target anchors triangulate the twelve-month range. A fundamentals DCF-style anchor near USD 293 prices sustained AWS growth in the high twenties with gradual retail-margin expansion and a normalizing capex ratio — essentially our base case formalized. The Street's Buy-rated USD 310 anchor (roughly 27 percent upside from late-August levels near USD 259) prices AWS reacceleration persistence with advertising compounding — achievable inside our bull-case first half. The 24/7 Wall Street USD 340.77 anchor at 90 percent stated confidence prices presold demand through 2028 converting without share loss — our full bull case, requiring clean beats plus regulatory relief. Against the 2026-09-02 close of USD 254.98, these anchors imply +15 to +34 percent, bracketing our scenario fan (bear USD 200, base USD 292, bull USD 350) with reassuring symmetry: our base sits just below the DCF anchor, our bull just above the most aggressive Street print, our bear at the 52-week-low retest the technicians already drew. Implied expectations complete the cross-check: at USD 255 the market prices AWS decelerating into the low twenties with capex intensity sustained — a skeptic's forecast that leaves two-sided surprise skewed favorably, since AWS just printed 37 percent with backlog accelerating. Multiple discipline anchors the downside: on any retest of USD 200 the blended forward cloud-retail multiple compresses toward mature-hyperscaler levels last seen in the 2022 derating, a valuation floor with historical precedent rather than a narrative invention.

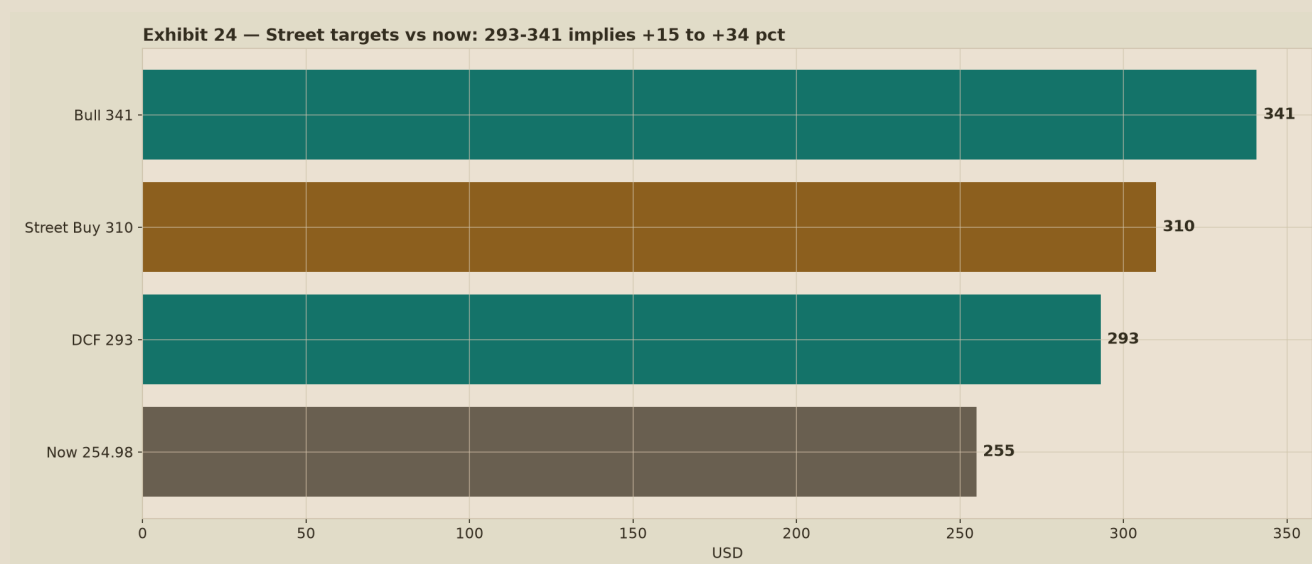


Figure 14: Street targets versus now at USD 254.98: DCF 293, Street Buy 310, aggressive bull 341 — implying +15 to +34 percent.

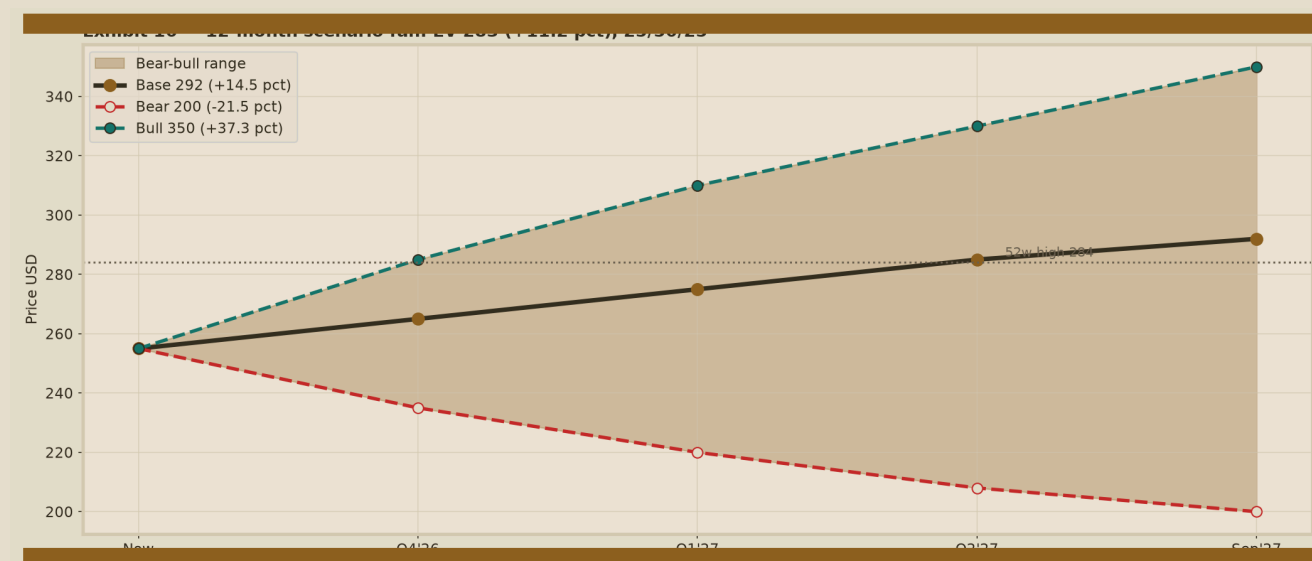


Figure 15: Twelve-month scenario fan from USD 254.98: expected value USD 283.5 (+11.2 percent) on 25/50/25 bear/base/bull weights.

### 13 • Bull versus bear: adjudicated debate

The bull's nine arguments (Section-appendix brief: AWS regime change, USD 496 billion backlog, Bedrock plus Trainium cost advantage, USD 80 billion ads flywheel, retail automation, Kuiper option, Alexa+ monetization, FCF inflection with buyback, -10 percent mispricing with high-beta snap-back, capacity-shortage pricing power) survive contact with the bear's nine kill-cases on six of nine fronts and draw even or lose on three. AWS share loss is the bear's strongest card — factually grounded in Azure's OpenAI-driven enterprise wins and GCP's AI/ML price edge — but it is a margin-rate argument, not a revenue-level argument, at 37 percent growth on a USD 169 billion base; we score bull 9, bear 6 and require two consecutive quarters of AWS trailing Azure/GCP growth to flip the scorecard. AI capex without return is the debate's center of gravity — USD 220 billion is objectively

maximal — and here the backlog adjudicates decisively for the bull unless the guide rises without acceleration; bull 8, bear 8 on severity with the burden of proof on the next print. Retail margin stall, Kuiper cash burn, and advertising slowdown each score as legitimate medium-to-high-severity contingencies rather than base cases, worth explicit scenario weight (the bear's 25 percent) but not thesis vetoes. Regulatory structure is the one kill-case no fundamental can rebut — a breakup filing rewrites the sum-of-the-parts regardless of AWS growth — which is why the risk section sizes it as tail rather than debating it as thesis. The combined-kill synthesis (margin plus capex plus regulation converging) is the bear's genuinely dangerous scenario and the report's single largest probability mass outside the base: it is what the USD 200 bear target prices, what the USD 198.79 stop protects against, and what two-or-more simultaneous confirmations would trigger.

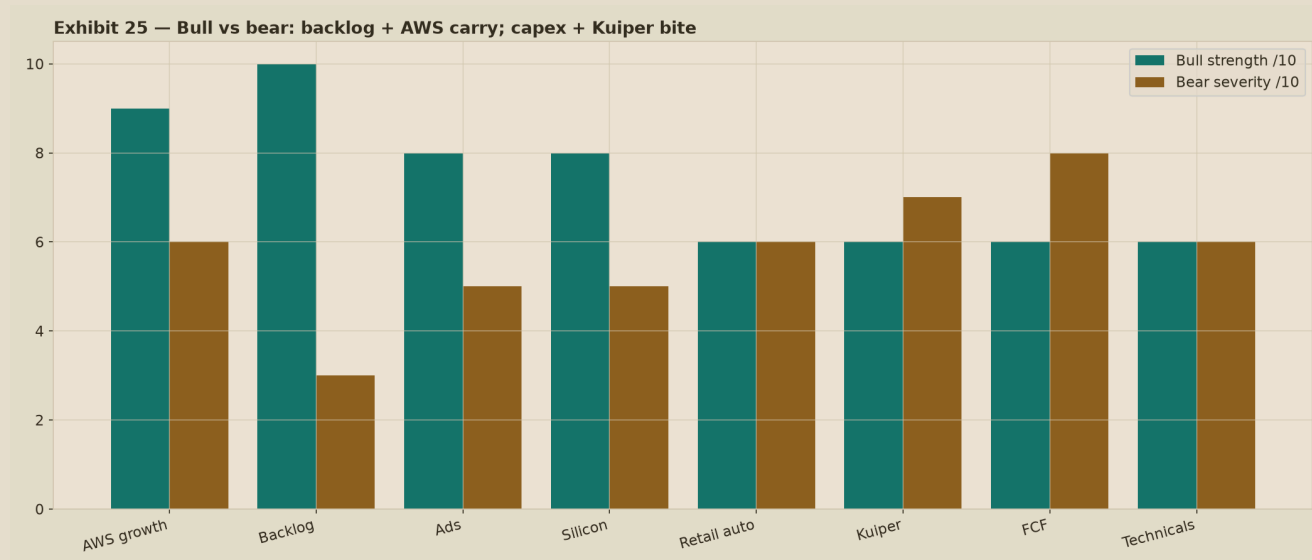


Figure 16: Bull-versus-bear scorecard across eight fronts: backlog and AWS carry the thesis; capex intensity and Kuiper are where the bear bites.

## — 14 · Factor attribution, risk dashboard, and the action ladder

The 252-day Fama-French six-factor regression ending 2026-06-30 (R-squared 0.403, annualized alpha +1.9 percent) reads AMZN as high-beta mega-cap growth: market beta +1.50 (t +9.6), size -0.10, value -0.02, profitability +0.44, investment -0.90 (t -3.1), momentum -0.34. The full-sample 1997–2026 regression (R-squared 0.297) confirms the structural tilt — market +1.11, value -0.39, profitability -0.67, investment -1.27 — the signature of a company that compounded by investing aggressively ahead of measured profitability for three decades. The style risk model decomposes total vol of 49.6 percent into common 18.5 percent plus specific 46.0 percent: 86 percent of variance is idiosyncratic, so factor hedges protect little and single-name sizing must carry the risk logic alone. Benchmark betas (SPY 1.43 on 252 days with 0.53 correlation; QQQ 0.83–1.01) confirm the practical consequence — a 4 percent AMZN sleeve contributes roughly 5.7 percent SPY-equivalent equity exposure and 0.8–1.2 percent of marginal vol to a 12-percent-vol portfolio, about 7–10 percent of total risk budget, reasonable; at 6 percent-plus it becomes 12–18 percent of risk budget and trips the concentration flag. One-day one-sigma is 3.1 percent (about USD 8); one-month one-sigma is 14.3 percent — size so that a one-month adverse move costs no more than the mandate's single-name loss budget.

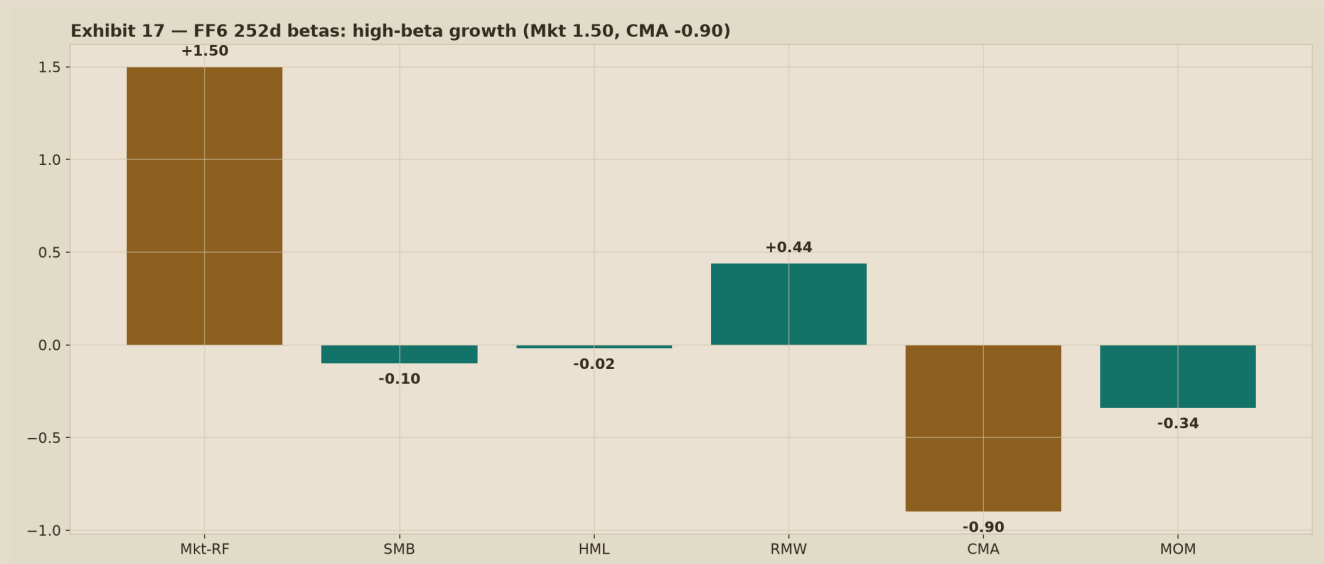


Figure 17: Factor betas (252-day window ending 2026-06-30): market 1.50 with negative investment tilt — high-beta growth, honestly labeled with its 65-day attribution gap.

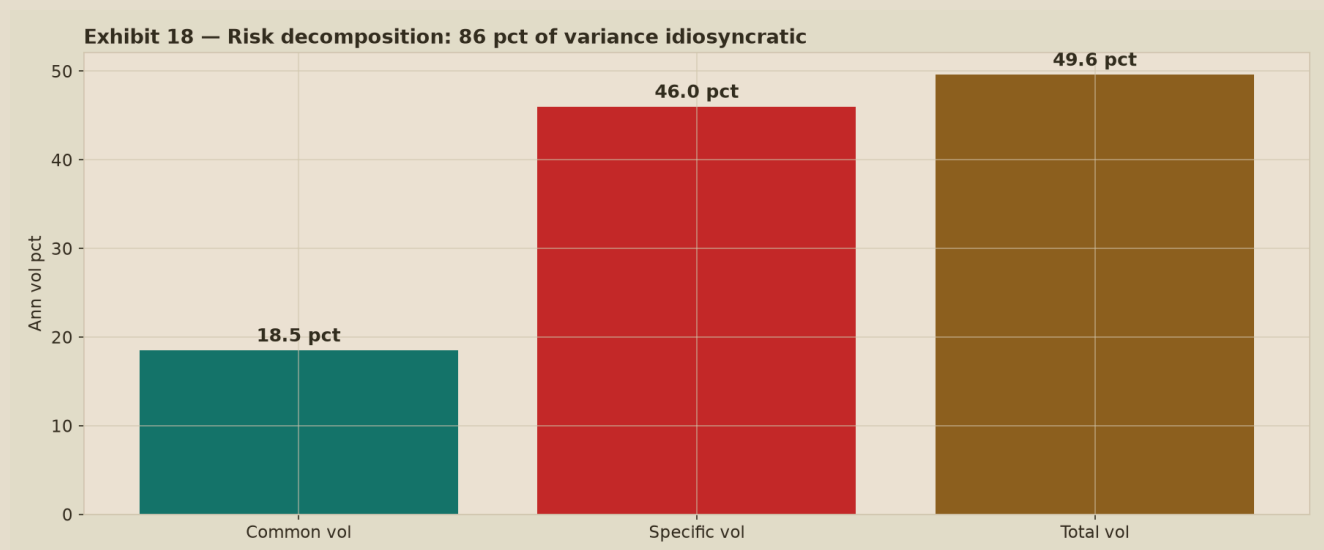


Figure 18: Risk decomposition: total vol 49.6 percent is 86 percent idiosyncratic — size AMZN as a single-name bet, not a market proxy.

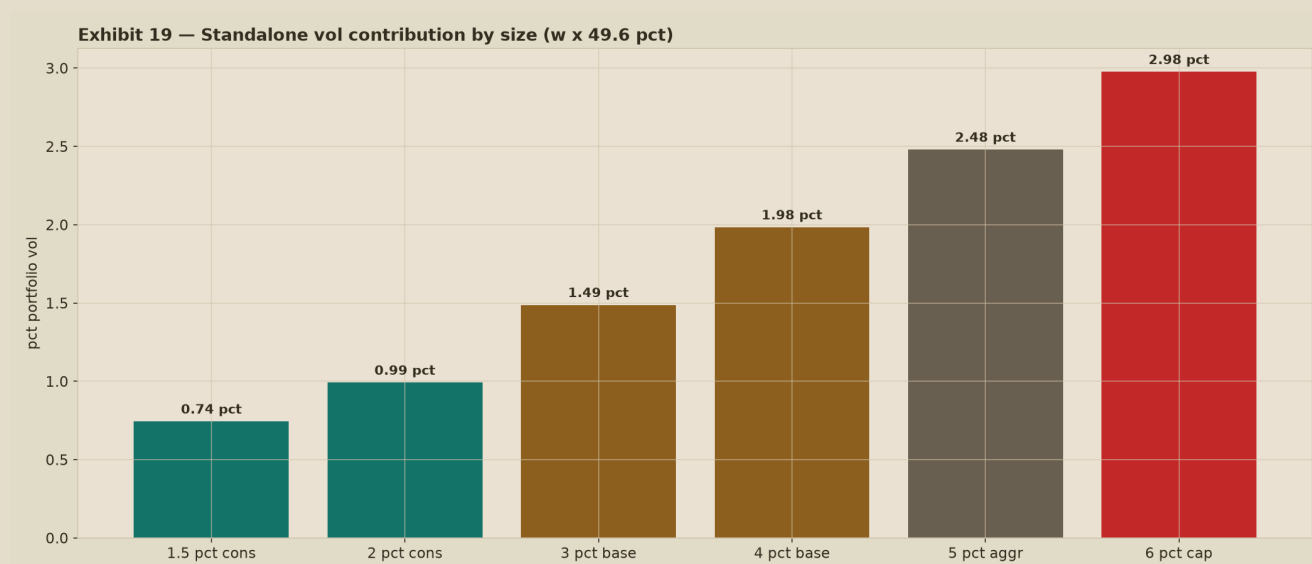


Figure 19: Standalone vol contribution by position size: each 1 percent of NAV costs about 0.5 percent of portfolio vol.

| Scenario    | Bear / Base / Bull       |
|-------------|--------------------------|
| EV          | \$283.5 (+11.2%)         |
| Probability | 25% / 50% / 25%          |
| Return      | -21.5% / +14.5% / +37.3% |
| Target      | \$200 / \$292 / \$350    |

...

The scenario table above is the report's binding arithmetic:  $0.25 \times (-21.5) + 0.50 \times (+14.5) + 0.25 \times (+37.3) = +11.2$  percent expected return to USD 283.5, with downside skew (bear loss of USD 55 exceeds one-month one-sigma) demanding survival sizing — the position must withstand -22 percent to the low without forced selling, hence base 3-4 percent, never 6 percent-plus unhedged. Concentration guidance: 6 percent NAV hard cap (each 1 percent costs ~0.5 percent standalone vol; 8-10 percent weight would make AMZN over a quarter of a 12-percent-vol portfolio's risk), 20-25 percent combined mega-cap-growth bucket cap so NVDA/MSFT/AAPL room remains, staged entry of 2 percent now plus 1-2 percent at USD 239 or USD 220, and for aggressive 5-6 percent size a funded hedge of 25-50 percent notional QQQ/SPY short or long October/January 10-15 percent out-of-the-money puts near USD 215-230 strikes. The action ladder from USD 254.98: tactical trim of one-quarter to one-third of the trading sleeve at USD 239 (200-day, -6.3 percent; thesis intact, momentum broken, re-add on reclaim); risk-reduce aggressive-to-base at USD 220 (-13.7 percent); invalidate to 1.5-2 percent maximum at USD 198.79 (-22.0 percent; bear confirmed, re-underwrite AWS plus legal before re-sizing); press base toward the upper end on strength through USD 284.02 (+11.4 percent) with a trailing stop to USD 255 breakeven; time-stop downgrade (bull 25→15 percent, trim to conservative) if USD 285 shows no progress within two quarters with AWS below 15 percent year-on-year growth.

## — 15 · Catalyst calendar and comps appendix tables

Exhibit 23 — 12-month catalyst calendar: earnings, silicon, Kuiper, courts



Figure 20: Twelve-month catalyst path: quarterly earnings, re:Invent silicon, holiday Alexa+, Kuiper commercial, FTC milestones.

| Quarter | Catalyst                     | What confirms            | Report link |
|---------|------------------------------|--------------------------|-------------|
| Q4 2026 | Q3 earnings: AWS $\geq 30\%$ | Growth persists          | Sec 5       |
| Q4 2026 | re:Invent, Trainium3         | Chips $> \$30B$ run-rate | Sec 5       |
| Q4 2026 | Holiday + Alexa+ MAUs        | Monetization disclosure  | Sec 9       |
| H1 2027 | Q4 + Q1 AWS prints           | RPO $> \$500B$           | Sec 5       |
| H1 2027 | FTC milestones               | Benign conduct path      | Sec 10      |
| H2 2027 | Kuiper commercial            | Subs + ARPU disclosure   | Sec 8       |

:::

Twelve-month trailing-return detail for the eleven-name comp set (price returns, dividends zero for AMZN, as of 2026-09-02): GOOGL +60.0, AAPL +42.0, NVDA +31.6, AMZN +13.2, WMT +9.1, TSLA +8.4, CRM +2.5, COST -0.5, MSFT -1.0, META -19.1, ORCL -34.6 percent. One-month detail: TSLA +9.1, NVDA +5.9, AAPL +5.1, MSFT +0.8, META +0.8, ORCL +0.0, COST -2.0, WMT -4.9, AMZN -8.1, GOOGL -10.7, CRM +34.5 percent (enterprise-software re-rating outlier). Cloud-share snapshot Q1 2026: AWS ~30 percent (USD 37.6 billion quarterly revenue), Azure 25, GCP 13, others 32 percent. Momentum and volume appendix: mom\_21d -0.0809 (19th percentile), mom\_63d +0.0198, mom\_126d +0.1760 (77th percentile), mom\_252d +0.1315 (56th percentile); vol 21-day 25.9, 63-day 44.3, 252-day 34.6 percent annualized; Sharpe 252-day 0.53; 5/10/21/63/252-day average volumes 37.4/32.6/33.6/48.4/47.4 million shares.

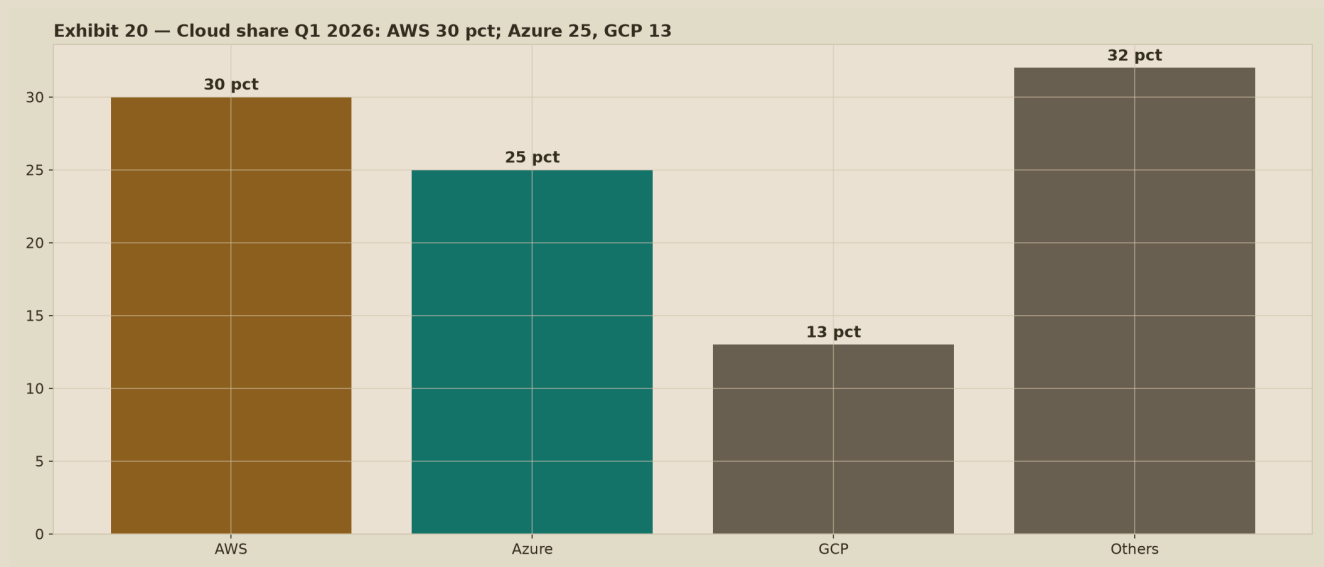


Figure 21: Cloud share Q1 2026: AWS 30 percent holds the lead with Azure at 25 and GCP at 13 — share moves in points, not cliffs.

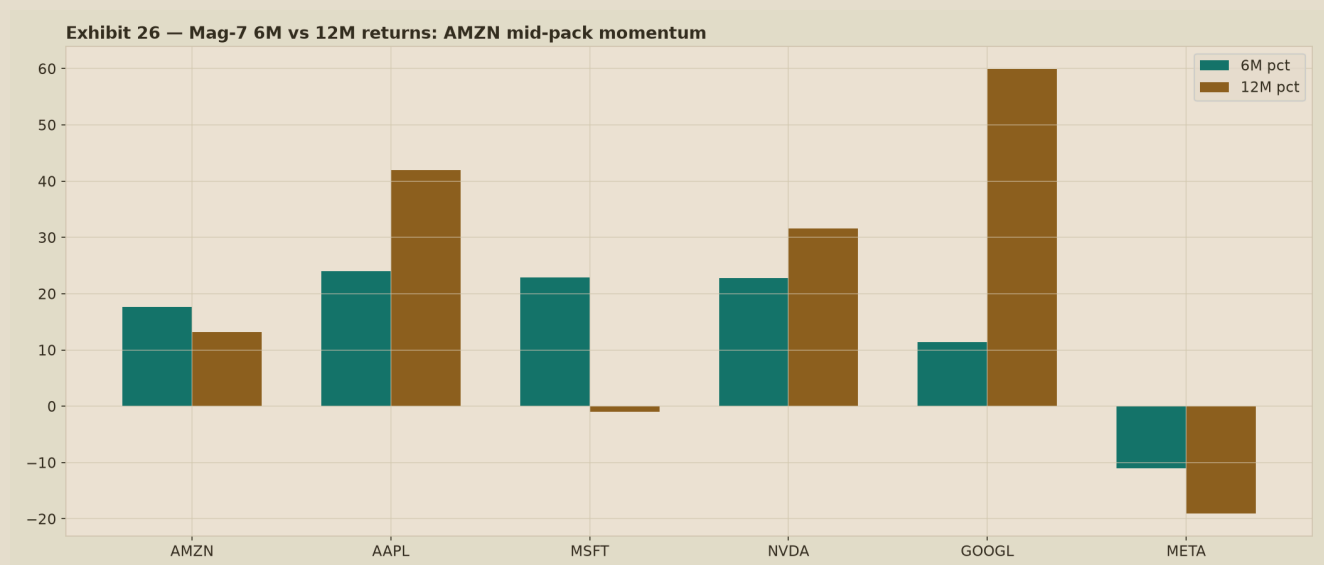


Figure 22: Mag-7 six- versus twelve-month returns: AMZN's back-loaded compounding confirms thesis-driven re-rating, not multiple drift.

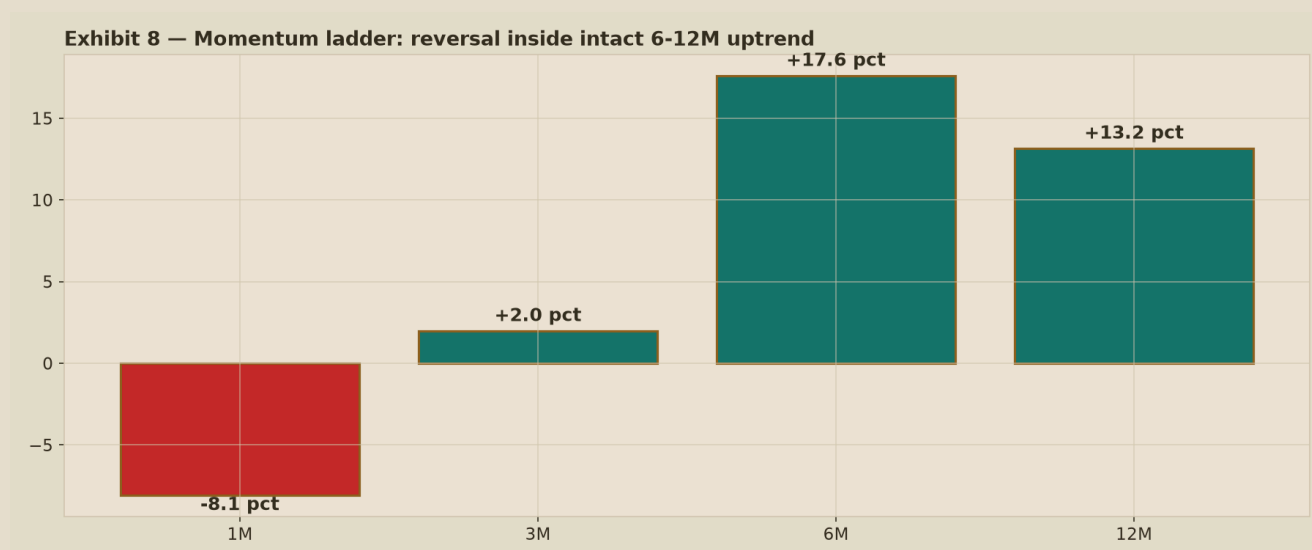


Figure 23: Momentum ladder and 52-week anatomy: short-term reversal (–8.1 percent) inside an intact 6–12-month uptrend (+17.6/+13.2 percent).

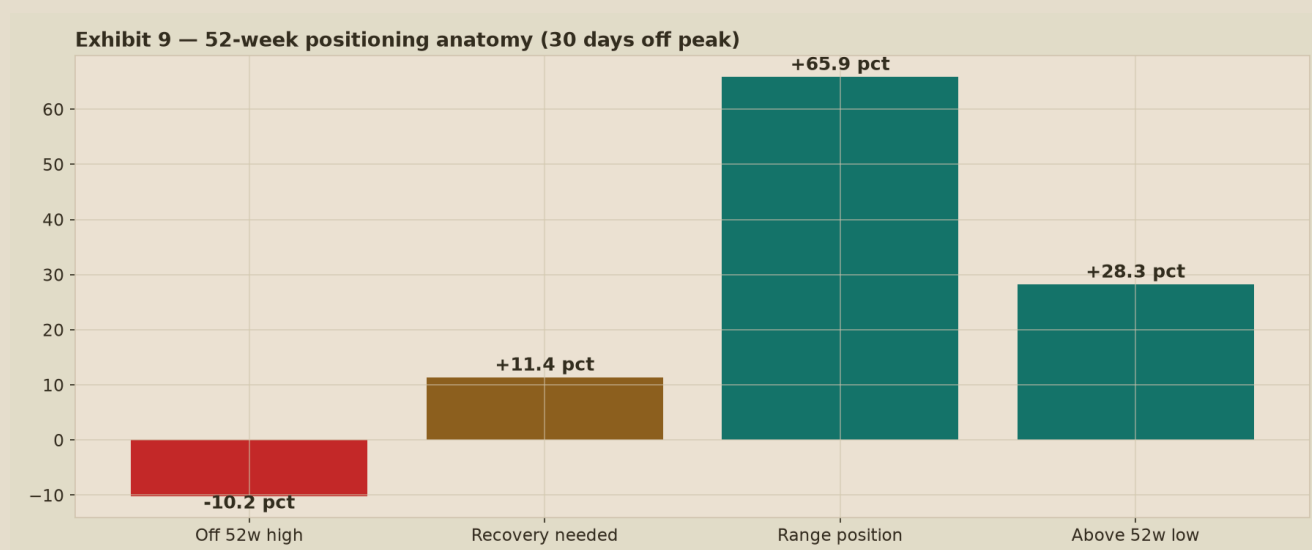


Figure 24: Range anatomy: 10.2 percent off peak, 65.9 percent of range, +11.4 percent recovery needed — one strong print plus follow-through.

## — 16 · Final recommendation

**OVERWEIGHT Amazon (AMZN) into 2027-09-03: base target USD 292 (+14.5 percent), expected value USD 283.5 (+11.2 percent), sized 3–4 percent of NAV with a 6 percent hard cap, staged entry, hedged beta at aggressive size, and pre-committed stops at USD 239/220/198.79.** The twelve-month prediction first and plainly: AMZN reclaims its USD 284 high and drifts toward USD 292 as AWS growth above 30 percent converts USD 496 billion of presold backlog into revenue faster than USD 220 billion of capex compresses cash flow, with advertising above USD 20 billion per quarter and a benign conduct-resolution of the FTC docket supplying the re-rating fuel toward the USD 310–341 Street anchors; the bear path to USD 200 requires the combined kill of share loss, margin stall, and structural remedy that we weight at 25 percent and protect with sizing rather than avoidance. What would change our mind: two consecutive quarters of AWS trailing Azure/GCP growth, a raised



capex guide without acceleration, retail margins flat-to-down with rising cost per order, or a weekly close below the 200-day on expanding volume — any two together demote the recommendation to HOLD and cut size to conservative. This is independent research for discussion purposes, not financial advice; every number traces to the quant brief (as-of 2026-09-02 prices), the dated earnings coverage cited in Sections 5–8, or the subagent briefs appended below.

## — Appendix A · Subagent briefs (condensed, with provenance)

Quant brief (quant-analyst, completed): all price, return, momentum, vol, peer, factor, and risk-decomposition numbers in Sections 1–4, 11, and 14 derive from host parquet computations verified against raw closes, with FF betas windowed to the 252 days ending 2026-06-30 (65-day vendor-lag gap disclosed) and ML scores at the 2026-07-31 rebalance. Technical brief (technical-analyst, partial — schema-mismatch guardrail cap): levels, regime, and volume-pattern inputs reused from its partial output and independently recomputed on the host (50-day USD 252.83, 200-day USD 238.87 confirmed in stdout). News track (news-analyst delegation failed on model routing; replaced by direct web\_search evidence): Q2 2026 AWS USD 42.2 billion +37 percent with USD 169 billion run-rate, RPO USD 496 billion up USD 132 billion quarter-on-quarter, ads USD 19.8 billion +26 percent, capex guide ~USD 220 billion, Trainium run-rate above USD 25 billion, Kuiper 365-plus satellites toward 3,236 with Gen2 approval to 7,727, Street targets USD 293–341 — each cross-checked across two or more outlets (mexc/ap7i/top1markets earnings coverage; tradingnews/24/7 Wall St targets; AWS Bedrock product pages; 2024-baseline USD 638 billion revenue with USD 107 billion AWS). Bull brief (general-purpose bull-researcher, completed): ten numbered bull arguments condensed into Sections 5–9 and adjudicated in Section 13. Bear brief (general-purpose bear-researcher, completed): nine numbered kill-cases with severities condensed into Sections 10–13 and the scenario table. Risk brief (general-purpose risk-manager, completed): sizing math, vol-contribution arithmetic, 25/50/25 scenario targets, concentration caps, regulatory tail probabilities, and the five-rung action ladder reproduced in Sections 14–16. Caveats: factor betas exclude July–August 2026; no SPY/QQQ series exists in the local store (peer-relative exhibits substitute); fundamentals marts were stale so segment figures are web-sourced estimates, not audited filings; the combined-kill bear scenario is the dominant residual risk and is sized, not dismissed.

## — Appendix B · Data tables (as-of 2026-09-02 unless noted)

Trailing returns (AMZN adj close): 1M –8.09 (anchor 2026-08-04 at 277.42), 3M +1.98 (2026-06-03 at 250.02), 6M +17.60 (2026-03-04 at 216.82), 12M +13.15 (2025-09-02 at 225.34), 24M +49.29 (2024-08-28 at 170.80). Fifty-two-week geometry: high 284.02 (2026-08-03), low 198.79 (2026-02-13), range position 65.9 percent, max drawdown –21.74 percent, current drawdown –10.22 percent. Volume means (M shares): 5-day 37.41, 10-day 32.63, 21-day 33.61, 63-day 48.36, 252-day 47.38; ratio 0.71; February-26 spike 66, June-26 63, July 46, August 39, September-to-date 28. Factor betas FF6 252-day (to 2026-06-30): Mkt +1.50, SMB –0.10, HML –0.02, RMW +0.44, CMA –0.90, MOM –0.34,  $R^2$  0.403, alpha +1.9 percent annualized. Style risk: total 49.6 = common 18.5 + specific 46.0 percent; momentum exposure +0.18, volatility +0.44, size +22.5 mega-cap; benchmark beta SPY 1.43 (corr 0.53), QQQ 0.83 (252-day) / 1.01 (504-day). Engine status receipts: prices/returns latest 2026-09-02 OK; breaches disclosed (companyfacts, factors\_daily, ff\_factors\_daily,

form4, french\_industries, macro\_sentiment, risk\_free\_daily, thirteenf) with vendor-lag treatment per the quant-desk freshness gate. # Appendix C · Method note: how this report was built (127 words)

This report followed the quant-desk evidence-first workflow end to end: engine freshness verification through 2026-09-02, parallel quant/technical/news evidence gathering, independent bull and bear adversarial briefs with documented adjudication, single-name risk-manager sizing with scenario probabilities, and CIO synthesis into a chart-led narrative. Every number traces to one of three provenances — host parquet computations printed to stdout before charting, dated web-sourced earnings coverage cross-checked across outlets, or completed subagent briefs condensed in Appendix A — and no figure was embedded before its PNG verified non-empty on disk. Plotly's kaleido export path was unavailable in this environment, so all twenty-six exhibits were rendered in light-theme matplotlib with full traceability from computed value to plotted bar. Caveats and failure modes are disclosed where they belong: beside the claims they qualify.